

Ticker: SKE CN

Cash 3Q22+royalty sale: C\$54m

Project: Eskay Creek

Market cap: C\$531m

Price: C\$7.01/sh

Country: Canada, BC

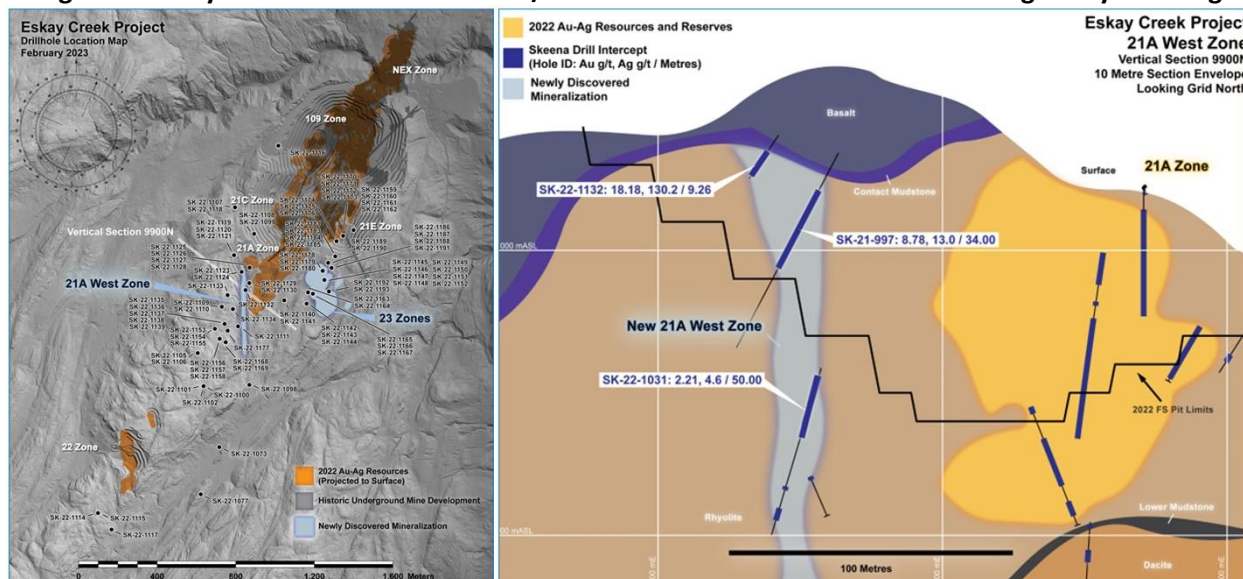
REC. (unc): BUY

TARGET (unc): C\$12.00/sh

RISK RATING (unc): HIGH

The main key takeaway from today's drill results is that Eskay Creek will get bigger, mainly from near-surface ounce additions, which are NPV accretive in our view. Currently, we model C\$1.75Bn NPV_{5%-1850} for Eskay Creek at build start, which simply equates to a ~C\$50m NPV increase for each 100koz added or +64c/sh, a figure that lifts if over 3.7g/t AuEq reserve grade, and falls if under. It's hard to pin down the exact ounce-addition potential, but 21A West and 23 Zones are the engine room. For the pessimists concerned about losses during infill, at worse this would offset such, while the optimists have a flyer on additional high-grade from the rhyolites and near-surface high-grade ounces like some of those drilled today. Digging in (i) infill drilling at 21A Zone saw **9.3m @ 19.7g/t AuEq** from 46m – near surface and substantially higher grade than the current OP resource (5.3Moz @ 3.2g/t) in an area modelled as waste, a big win, (ii) extension drilling from the newly discovered 21A West Zone hit **5.7m @ 14.9g/t**, just 10m below surface, next to the FS pit shell and 100m vertically up-dip from prior **46.8m @ 1.8g/t** hit, speaking to continuity for more cheap ounce additions, while (iii) bulk hits from 23 Zone (ie 26.1m @ 1.3g/t) fill out the back end, perhaps with some cherries (6.4m @ 12.9g/t), with the mineralization now being traced for ~800m along strike and 300m below surface. For now, **we maintain our BUY rating and C\$12.00/sh PT based on 0.6xNAV_{5%-1850}**. Looking ahead, clearly the upcoming MRE is the main catalyst to provide more torque to Skeena's share, alongside with early construction works and progress on permitting.

Figure 1. Eskay Creek Plan view and 21A / 21A West Zone vertical section showing today's drilling



Source: Skeena

Step-out / infill drilling at 21A W, 23 Zones opens door to ounce growth in 1H23 MRE update

Skeena reported results from 91 holes from the 2022 drilling program at Eskay Creek. Infill drilling at the 21A Zone intercepted **9.3m @ 19.7g/t AuEq** from 46m, while extension drilling from the newly discovered 21A West Zone hit **5.7m @ 14.9g/t** from 10m below surface. Step-out exploration drilling from the also newly discovered 23 Zone intercepted **6.4m @ 12.9g/t** from surface and **26.1m @ 1.3g/t** from 61m downhole. An updated MRE is expected by 1H23, which will incorporate all drilling data after September 2021, including the newly discovered 21A West and 23 Zones, that as of now have not been included in any MRE or economic analysis to date.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M

- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 1H23: Updated MRE
- 2023: Permitting updates
- 3Q23: SCPe build start
- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

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Ticker: SKE CN		Price / mkt cap: C\$7.01/sh, C\$531m					Project PNAV today: 0.33x		Asset: Eskay Creek / Snip	
Author: B Salier/ E Magdzinski		Rec / 0.6xNAV PT: BUY, C\$12/sh					1xNAV _{4Q22} FF FD: C\$21.42/sh		Country: Canada: BC	
Commodity price		CY18A	CY19A	CY20A	CY21A	CY22E	Resource / Reserve		AuEq (koz)	AuEq (g/t)
Gold price		1,850	1,850	1,850	1,850	1,850	Pittable resource		5329koz	3.20g/t
SOTP project valuation*							Underground resource		279koz	5.23g/t
		C\$m	O/ship	NAVx	C\$/sh		Snip		646koz	13.60g/t
Ungeared proj. @ build start (3Q23)		1,748	100%	1.00x	21.07		Funding: uses		Funding: sources	
Cash 3Q22+royalty sale		54	100%	1.00x	0.65		Build Capex		C\$592m	Cash 3Q22+royalty sale C\$71m
Cash from options		55	100%	1.00x	0.67		SCPe G&A to 1st Au + NSR buyback		C\$28m	Mine debt @ 65% gearing C\$385m
Rsr ex rsv @US\$50/oz		88	100%	1.00x	1.06		SCPe pre-production expl'n		C\$0m	Mine build equity at 0.4xNAV C\$207m
Snip (US\$75/oz)		61	100%	1.00x	0.73		SCPe finance costs + wkg cap		C\$38m	Total proceeds C\$663m
Asset NAV5% C\$1850/oz		2,006			24.2		Total uses		C\$659m	Buffer C\$4m
*Shares diluted for options but not mine build							*Cash from options expiring pre first pour			
Share data							Ratio analysis		CY21A	CY22E
Basic shares (m)		75.8					Average shares out (m)		92.2	71.2
FD with options (m)		82.9					EPS (C\$/sh)		-	-
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							CFPS (C\$/sh)		-	-
Project NPV (C\$m)*		\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz	EV (C\$m)		607.1	477.4
10.0% discount		1,289	1,416	1,543	1,669	1,795	FCF yield (%)		-	-
7.5% discount		1,472	1,614	1,756	1,897	2,038	PER (x)		-	-
5.0% discount		1,687	1,846	2,006	2,165	2,324	P/CF (x)		-	-
Ungeared project IRR:		44%	47%	50%	53%	56%	EV/EBITDA (x)		-	32.6x
Project NPV (C\$/sh)*		\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz	Income statement		CY21A	CY22E
10.0% discount		15.54	17.08	18.60	20.13	21.65	Net revenue (C\$m)		-	-
7.5% discount		17.75	19.46	21.17	22.87	24.57	Gross profit (C\$m)		-	-
5.0% discount		20.34	22.26	24.2	26.10	28.01	D&A, attrib (C\$m)		0.3	0.2
*Project level NPV, excl finance costs and central SG&A, discounted to build start							Admin (C\$m)		22.9	18.7
Group valuation over time^		Mar-23	Mar-24	Mar-25	Mar-26	Mar-27	Expensed exploration (C\$m)		107.5	71.9
Eskay Creek (C\$m)		1,727	1,856	2,146	2,550	2,423	Finance cost (C\$m)		(0.2)	(0.3)
Net cash prior qtr (C\$m)		23	169	(24)	(334)	(144)	Royalty (C\$m)		-	-
G&A and finance costs (C\$m)		(90)	(100)	(92)	(70)	(29)	Forex, other (C\$m)		(12.8)	(14.0)
Cash from options (C\$m)		55	55	55	55	55	Taxes (C\$m)		-	-
Snip		61	61	61	61	61	Net income (C\$m)		(117.6)	(76.5)
NAV FF FD (C\$m)		1,776	2,040	2,146	2,262	2,366	Cash flow, attrib.		CY21A	CY22E
1xNAV _{5%sh} FF FD (C\$/sh)		21.42^	18.98*	19.98*	21.06*	22.03*	EBIT (C\$m)		(117.8)	(76.8)
Geared company NAV diluted for mine build, net G&A and finance costs							Add back D&A (C\$m)		0.3	0.2
1xNAV FF FD (C\$/sh)^		\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz	Less tax + net interest (C\$m)		(0.2)	(0.3)
10.0% discount		1,813	1,980	2,147	2,314	2,482	Net change in wkg cap (C\$m)		(10.3)	12.1
7.5% discount		1,903	2,077	2,251	2,426	2,600	Add back other non-cash (C\$m)		1.4	(6.3)
5.0% discount		2,002	2,184	2,366	2,549	2,731	Cash flow ops (C\$m)		(126.1)	(70.5)
Geared project IRR:		42%	45%	48%	51%	54%	PP&E + build + sust. (C\$m)		(13.1)	(12.7)
1xNAV FF FD (C\$/sh)^		\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz	PP&E - expl'n (C\$m)		(0.5)	(0.0)
10.0% discount		14.98	16.84	18.71	20.60	22.50	Cash flow inv. (C\$m)		(13.5)	(12.7)
7.5% discount		16.36	18.32	20.30	22.29	24.29	Share issue (C\$m)		137.0	65.2
5.0% discount		17.86	19.94	22.0	24.13	26.24	Proceeds from sale (C\$m)		5.0	-
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							Debt draw (repay) (C\$m)		(1.6)	(0.3)
Production		Y1	Y2	Y3	Y4	Y5	Cash flow fin. (C\$m)		140.5	64.9
Gold production (000oz)		420	361	469	496	493	Net change in cash (C\$m)		0.8	(18.3)
C1 cost (US\$/oz)		611	897	722	656	590	EBITDA (C\$m)		(117.5)	(76.6)
AISC cost (US\$/oz)		691	979	854	783	636	Balance sheet		CY21A	CY22E
AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027							Cash (C\$m)		40.3	23.2
							Acc rec., inv, prepaid (C\$m)		13.9	7.4
							PP&E + other (C\$m)		100.8	124.2
							Total assets (C\$m)		155.0	154.8
							Debt (C\$m)		1.3	1.4
							Accounts payable (C\$m)		12.5	20.6
							Others (C\$m)		17.6	3.6
							Total liabilities (C\$m)		31.4	25.6
							Sh'hlds equity + wrmts (C\$m)		362.0	448.9
							Retained earn'gs + rsvs (C\$m)		(238.4)	(319.7)
							Liabilities + equity (C\$m)		155.0	154.8
									313.1	301.0
									689.3	

1200/oz

800/oz

400/oz

0/oz

1200/oz

800/oz

400/oz

0/oz

Gold prod'n (LHS, 000oz)

AISC (RHS, US\$/oz Au)

Y1

Y2

Y3

Y4

Y5

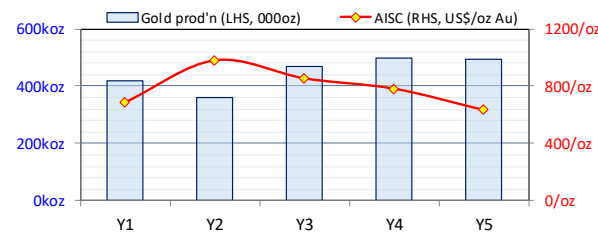
600koz

400koz

200koz

0koz

Source: SCP estimates



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Summary of Recommendations as of February 2023	
BUY:	53
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	55

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